

Georgia Geopolitical Positioning

Georgia, South Caucasus

- SIGNAL** China exited the Anaklia Deep Sea Port on July 6 while South Ossetia's de facto government was absorbed into Russian administrative structures.
- FRACTURE** GD's one-party consolidation at home and empty alternative partnerships abroad risk leaving Georgia without protectors in either camp.

Georgia's strategic drift will accelerate over the next 18 months as GD's post-Anaklia search for alternative partners converges with deeper South Ossetia absorption and one-party consolidation at home, without triggering a definitive break from any major power.

75%

PROBABILITY

TARGET: DECEMBER 2027

CONFIDENCE: MEDIUM

WHAT'S NEW

- **China exits Anaklia Deep Sea Port (July 6):** CCCC and China Harbour Investment formally walked away from their 49% stake, ending the flagship project of Georgia's China pivot. GD announced a "landlord" model – state retains core infrastructure, seeking multiple international partners. Economy Minister Kvrivishvili invited China, Central Asia, and Azerbaijan – but not Europe – to participate. 2029 target for first phase. Uzbek officials expressed vague interest. This is the most structurally significant counter-development to the "deepening China ties" thesis.
- **South Ossetia governance absorbed into Russian structures (June 23, reported July 22):** De facto president Alan Gagloev resigned and was appointed Putin adviser. Russian citizen Marat Kambolov (former Kurchatov Institute director) installed as acting president. The 2026 Treaty on Deepening Allied Interaction continued integration – provisions allow Russian citizens to hold posts in South Ossetia's government. MRB Bank documented as a cut-out for Donbas financial intermediation (\$49B in 2017) and North Korea sanctions evasion. Georgia's economic dependence on Russia deepened: 97% wheat imports, 60-65% wine exports.
- **Kobakhidze completes Central Asia sweep – all five states (by July 21):** PM met leaders of Kazakhstan, Uzbekistan, Kyrgyzstan, Tajikistan, and Turkmenistan over summer 2026. Strategic partnership agreements signed with Kazakhstan and Uzbekistan. First-ever Georgian PM visits to Kyrgyzstan and Tajikistan (11 bilateral documents signed). Turkmen President Berdimuhamedov's first official Tbilisi visit. But exports

are dominated by vehicle re-exports (95.5% to Kyrgyzstan, ~90% to Tajikistan) – economically trivial. Experts warn Central Asia cannot substitute for Western ties.

- **One-party state trajectory accelerates (July 29):** Former US Ambassador Ian Kelly and Bush Institute's David Kramer (Just Security) warn GD is creating a one-party regime. Proposed Constitutional Court legislation to ban all opposition parties deemed a "threat to constitutional order." GD creating "systemic opposition" party (People's Power) modeled on United Russia. Eight opposition leaders face sabotage charges (up to 15 years), verdict expected fall 2026. US has no Senate-confirmed ambassador in Tbilisi.
- **ICDS declares Georgia drifting toward "strategic irrelevance" (July 23):** Estonian ICDS analysis by Teona Givashvili (LSE) argues GD's "multi-alignment" is a façade for domestic power consolidation. Georgia alone in the region is narrowing its strategic agency while Armenia, Azerbaijan, and Central Asian states expand theirs. GD burning Western bridges without cultivating viable alternatives.
- **ISPI identifies Middle Corridor paradox (July 27):** EU and Georgia have diverging perceptions of the Middle Corridor. Economy Minister Kvrivishvili's Anaklia invitations excluded Europe. TRIPP expected to reduce travel times 25% vs Baku-Tbilisi-Kars. Geography alone cannot compensate for deteriorating political trust.
- **Russian diaspora soft-power strategy exposed (OC Media, July):** Leaked December 2025 Moscow State University report for the Presidential Administration's new soft-power unit. Budget: ₾13B (\$165M). Georgia is primary destination for post-2022 Russian emigrants (15.5%). Russian Orthodox Church identified as key channel. Recommendations include apolitical Sunday schools and Soviet-era cultural programming.
- **Trump-Kobakhidze exchange continues engagement track (July 18):** Trump responded to Kobakhidze's Independence Day message stating he was "Looking Forward to Strengthening Cooperation." Foreign Minister Botchorishvili addressed Rubio-hosted Ministerial on "Far-Left Political Terrorism" (July 17). But US Embassy rebuked GD's "Hate Speech" division (July 28) as troubling and warned against free speech restrictions.
- **OSCE PA adopts Hague Declaration with Georgia concerns (July 8):** Resolutions expressing concern about democratic backsliding, political prisoners, and media freedom deterioration adopted at the OSCE Parliamentary Assembly.
- **Serbia-GD axis: "twin authoritarian regimes" (FDD, July 2):** FDD analysis comparing GD and Vucic's Serbia. Both refused to sanction Russia, serve as sanctions evasion hubs, passed "foreign agent" laws, cultivate China ties. Vucic's first head-of-state Tbilisi visit (June); free-trade deal (\$20M bilateral trade).
- **Gakharia calls for conditional US engagement (July):** Former PM argues GD's trajectory is "a direct challenge to a continued American stake in the region." Georgia was not just part of US strategy but an enabler – anchoring Azerbaijan in Western frameworks. Calls for return to democratic principles as condition for engagement.

- **Russian cognitive warfare analysis (EU Awareness Centre, July):** Ambassador David Dondua documents Russia's three-pronged narrative campaign: the Saakashvili factor, fear of war, and anti-LGBTQ+ "values war." Critiques Western miscalibrations in messaging to Georgia's conservative society.
- **Kavelashvili attends Khamenei's funeral in Tehran (July):** Georgian President met with President Pezeshkian. Drew sharp criticism from pro-Western forces. GD justified as regional protocol (Armenia and Azerbaijan also sent representatives). Read as political signal of foreign policy shift.
- **Probability unchanged from Report 3 at 75%:** The Anaklia exit is a significant counter-development to the deepening-China-ties thesis, but the overall trajectory of drift across multiple vectors – Central Asia pivot, South Ossetia absorption, one-party consolidation – keeps the probability at the same level. Drift continues; the mechanisms driving it have merely reconfigured.

ANALYSIS

POLITICAL

The most consequential development since the last report is the structural unraveling of GD's China pivot narrative. China's exit from the Anaklia Deep Sea Port – the flagship infrastructure project that anchored the "comprehensive strategic partnership" signed just one month earlier – is more than a contractual setback. It exposes the fundamental asymmetry in GD's alternative-partner strategy: Georgia needs China far more than China needs Georgia. The Diplomat's June analysis proved prescient: the partnership was indeed a "louder signal, an empty promise."

But the strategic drift itself has not slowed. It has simply reconfigured its vectors. The South Ossetia governance handover – Gagloev's resignation, Kambolov's installation, the continued implementation of the 2026 Treaty on Deepening Allied Interaction – represents a qualitatively new phase in Russia's absorption of Georgian territory. This is no longer frozen-conflict management but administrative integration, with a Russian citizen now governing South Ossetia and Russian law progressively replacing local institutions. The GEOpolitics analysis's documentation of MRB Bank's role in Donbas and North Korea sanctions evasion adds a financial-crime dimension that directly implicates Georgia's territory in some of the world's most sanctioned activities.

GD's domestic trajectory compounds the geopolitical drift. The Kelly/Kramer warning (Just Security, July 29) is the most alarming institutional assessment to date: proposed Constitutional Court legislation to ban opposition parties, the creation of a "systemic opposition" modeled on United Russia, and eight opposition leaders facing sabotage charges carrying up to 15 years. The verdict, expected in fall 2026, will be a decisive moment. If the opposition is effectively criminalized, Georgia crosses a threshold from competitive authoritarianism to one-party state. This level of repression has no

precedent in Georgia's post-Soviet history and accelerates the country's departure from the European political space.

The US engagement paradox deepened during July. Trump's Independence Day message – "Looking Forward to Strengthening Cooperation" – and Botchorishvili's participation in Rubio's ministerial suggest the executive branch is maintaining the reset channel. But the US Embassy's July 28 rebuke of GD's "Hate Speech" division signals continued discomfort with the domestic trajectory. The absence of a Senate-confirmed ambassador in Tbilisi – flagged by Kelly and Kramer – is a structural indicator that Washington has not normalized the relationship. The reset remains contested, and the executive-congressional divide is the defining feature of US-Georgia policy.

The OSCE PA Hague Declaration (July 8) adds a multilateral dimension to the pressure. Combined with the EU's continued frozen accession, Georgia now faces criticism from virtually every major multilateral institution in the Euro-Atlantic space. The EU Awareness Centre analysis by Ambassador Dondua provides the most sophisticated diagnosis of how Russia exploited this dynamic – using cognitive warfare tactics that the West failed to counter effectively, particularly the "fear of war" narrative that equates EU integration with military conflict.

The contrast with Armenia's westward trajectory continues to sharpen. Pashinyan's identification of frozen EU-Tbilisi dialogue as the "biggest obstacle" to Armenia's EU ambitions (SCEEUS, June 23) makes Georgia's drift not just a bilateral problem but a regional structural constraint. The Caucasus Watch analysis captured this precisely: Georgia's risk is not isolation but "marginalization by design" – being written out of regional architecture as Armenia, Azerbaijan, and Turkey reshape the South Caucasus without Tbilisi's meaningful participation.

ECONOMIC

China's exit from Anaklia is the economic story of the month. The "landlord model" GD announced is untested – no country in the region has successfully built a major deep-water port through this structure without a dominant anchor investor. The invitation list (China, Central Asia, Azerbaijan, but not Europe) signals GD's continued preference for non-Western partners even after the Chinese consortium walked away. This is analytically significant: GD would rather court vague Uzbek interest than open Anaklia to European investment, suggesting the ideological commitment to non-Western alignment now overrides pragmatic infrastructure economics.

The Central Asia pivot, while diplomatically active, remains economically hollow. JAMnews's July 21 analysis is devastating on the data: 95.5% of Georgia's \$355M exports to Kyrgyzstan are vehicle re-exports – essentially used cars transiting Georgia rather than Georgian production finding new markets. The same pattern holds for Tajikistan (~90%). Kazakhstan's oil transit via BTC pipeline (49M barrels in Q1 2026) is the sole genuinely strategic economic link, and it predates the current diplomatic push. The Central Asia strategy is geopolitically significant as a signal of intent but economically trivial in terms of genuinely new value creation.

The South Ossetia integration carries economic implications beyond the political. Georgia's documented dependence on Russia – 97% of wheat/flour imports, 60-65% of wine exports – creates structural vulnerability that the South Ossetia administrative absorption deepens. As Russian law progressively replaces local institutions, the occupied territory's economy becomes a permanent appendage of Russia's, and Georgia's leverage over reintegration – always theoretical – becomes even more remote.

The ISPI Middle Corridor paradox (July 27) illuminates the economic contradiction at the heart of GD's strategy. Georgia wants the economic benefits of the Middle Corridor – transit fees, logistics sector growth, strategic relevance – without accepting the political conditions (democratic governance, rule of law, EU alignment) that the corridor's European terminus requires. Economy Minister Kvrivishvili's decision to exclude European partners from Anaklia invitations crystallizes this contradiction. The TRIPP route, expected to reduce travel times 25% vs Baku-Tbilisi-Kars, could structurally reduce Georgia's transit value if it materializes – and Georgia is not at the table shaping it.

The wine industry continues to exemplify Russia's economic leverage. The Forbes analysis from June remains operative: Russia buys 60-65% of exports, and the 2025 excise tax increases caused a 15.8% export drop. The pattern – dependency, coercion, attempted diversification, dependency rebuild – is a microcosm of Georgia's broader geopolitical vulnerability, and nothing in July's data suggests this dynamic has changed.

MILITARY

No significant changes in hard military posture, but the South Ossetia governance absorption represents the most significant soft-military development. The installation of a Russian citizen (Kambolov, former Kurchatov Institute director – a nuclear and defense research institution) as acting president is not a military occupation in the traditional sense, but it achieves the same result: the progressive elimination of any autonomous governance capacity in the occupied territory. The 2026 Treaty on Deepening Allied Interaction's provisions for coordinated foreign, defense, and security policies formalize what was already de facto – but with the governance shift, the formal and de facto are converging.

MRB Bank's documented role in Donbas financial intermediation (\$49B in 2017) and North Korea sanctions evasion (US Treasury sanction, September 2024) adds a military-finance dimension. The occupied territory is not just a Russian military outpost – it is a financial infrastructure for Russia's most sanctioned activities, including those directly related to the Ukraine war.

Russia's occupation of ~20% of Georgian territory remains the defining military fact. GD's continued demilitarization of the Western alignment – no NATO exercises, no military cooperation with Ukraine, no reintegration rhetoric – remains in place. The Zurabishvili framing from June – that GD foreign policy is shaped by "what Russia would tolerate" – remains the most accurate characterization of the military dimension.

TECHNOLOGICAL

The Russian diaspora soft-power strategy (OC Media, July) represents a technological dimension of influence that Western analysis often overlooks. The leaked Moscow State University report – described as an updated 1968 KGB manual – reveals a systematic approach to diaspora engagement with a ₾13B (\$165M) budget. Georgia's status as the primary destination for post-2022 Russian emigrants (15.5%) makes it the primary target. The recommendations – apolitical Sunday schools, family-oriented Russian House programming, Soviet-era cultural nostalgia – are designed to operate below the threshold of political contestation, making them harder to counter than overt propaganda.

The EU Awareness Centre analysis adds a cognitive warfare dimension. Ambassador Dondua documents three Russian narratives – the Saakashvili factor, fear of war, anti-LGBTQ+ "values war" – that exploited genuine vulnerabilities in Western messaging. The technological sophistication lies not in the tools (traditional media, social platforms, church networks) but in the precision of the targeting: Russia deployed "destructive capital" with greater accuracy than the West's "constructive capital."

The "Hate Speech" Interior Ministry division, rebuked by the US Embassy (July 28), adds a domestic surveillance dimension. Critics argue it will systematically monitor social media and automatically prosecute government critics. If implemented, this would represent a significant expansion of the state's technological capacity for information control – and potentially intersect with Chinese surveillance technology procurement, a concern that HR 7668 explicitly addresses.

Anaklia port's digital infrastructure – port management systems, customs automation, logistics software – remains a concern for Western security planners. The "landlord model" may retain state ownership of physical infrastructure, but the question of who provides the technology layer is unresolved and significant. A port that moves Chinese goods through Georgian territory is one thing; a port whose digital infrastructure is provided by Chinese state-backed firms is another. HR 7668's classified intelligence assessment, if the Senate passes the bill, will presumably examine this dimension.

WATCH INDICATORS

- Anaklia port "landlord model" – which partners step forward, whether any are Western, construction timeline viability
- South Ossetia absorption – further Russian citizen appointments, Abkhazia parallel developments, formal annexation signals
- Opposition trials and one-party consolidation – sabotage verdict (fall 2026) and any anti-opposition party ban legislation
- US Senate action on HR 7668 – whether the classified intelligence assessment proceeds
- Trump administration ambassadorial appointment – whether a Senate-confirmed ambassador is nominated and confirmed

- China-Georgia relations post-Anaklia – whether any new infrastructure commitments or strategic reset emerges
- Iran-Georgia political signals – further high-level visits, trade growth, secondary sanctions risk

PROBABILITY TRIGGERS

EVENT	DIRECTION
South Ossetia formal annexation or further Russian citizen governance appointments	Up
Constitutional Court legislation to ban opposition parties is enacted	Up
Opposition leaders convicted on sabotage charges (fall 2026)	Up
China announces a new major infrastructure investment in Georgia to replace Anaklia	Up
US Senate passes HR 7668; classified intelligence assessment proceeds	Down
Trump administration nominates a Senate-confirmed ambassador to Tbilisi	Down
GD releases political prisoners or halts opposition ban legislation in response to external pressure	Down
A Western partner commits to Anaklia port under the "landlord model"	Down
Opposition parties form a unified electoral front; snap elections announced	Down
Iran secondary sanctions extend to Georgian entities facilitating sanctions evasion	Down

KEY SOURCES

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21. The Diplomat: Georgia's Upgraded Partnership With China – A Louder Signal, An Empty Promise

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This report was generated on 2026-08-02 based on open-source reporting available as of 2026-08-02. The probability reflects IScann Group's analytic judgment, not a statistical model, unless otherwise stated. Sources 33-48 were added to the wiki between July 2 and July 30, 2026; additional late-July developments from Civil.ge, Caucasus Watch, and Brookings were reviewed. This is the fourth watch report for the Georgia topic. The next review is scheduled for 2026-09-01.